MCA SPICe+ Integrated Incorporation and Fast-Track Compliance for MSMEs

Issuing Authority: Ministry of Corporate Affairs, Govt. of India

1. Overview of SPICe+ Integrated Services

The Ministry of Corporate Affairs (MCA) provides an integrated digital service under the SPICe+ (SPICe Plus) web form to facilitate ease of doing business and fast-track incorporation for Micro, Small, and Medium Enterprises. The portal functions as a single-window incorporation mechanism offering 10 statutory services simultaneously across three central government ministries and state authorities.

2. Integrated Registrations under SPICe+

A single digital application on mca.gov.in delivers: Part A (Name Reservation for Companies/LLPs) and Part B (Incorporation, Director Identification Number (DIN) allotment, mandatory PAN and TAN allotment, EPFO registration, ESIC registration, Profession Tax registration, mandatory Bank Account opening, GSTIN registration, and seamless integration with Udyam Registration for MSMEs). No separate physical or portal visits are required for newly incorporated micro and small enterprises.

3. Concessions and Exemption for Small Companies

Under Section 2(85) of the Companies Act 2013, a Small Company is defined as a company with paid-up capital not exceeding Rs. 4 Crore and turnover not exceeding Rs. 40 Crore. Small Companies enjoy critical statutory relaxations:

• Exemption from preparing Cash Flow Statements.

• Exemption from mandatory statutory auditor rotation.

• Only two board meetings required per calendar year (one in each half-year) with a gap of at least 90 days.

• Abridged Annual Return format (Form MGT-7A).

• Significantly reduced penal liabilities under Section 446B (penalties capped at half of normal penalties, max Rs. 2 Lakhs).

4. Mandatory Protection for MSME Vendors (Form MSME-1)

To enforce prompt payment to MSME suppliers, the MCA mandates under the Companies Act that all specified companies having outstanding dues to Micro and Small enterprises exceeding 45 days must submit a half-yearly return (Form MSME-1) to the Registrar of Companies (ROC). The filing details the exact outstanding amount, reasons for delay, and vendor identification, penalizing non-compliant corporate buyers under Section 405.

5. Fast Track Exit (FTE) and Simplified Mergers

Micro and small companies seeking voluntary closure can use the Fast Track Exit mechanism under Section 248 by filing Form STK-2 with nominal fees. Furthermore, Section 233 provides a fast-track merger scheme between two or more Small Companies or between a holding company and its wholly-owned subsidiary without requiring expensive National Company Law Tribunal (NCLT) approvals.